Question #1 of 20

Question ID: 1473606

It is *most accurate* to state that the upfront payment associated with a credit default swap (CDS) is:

A) sometimes made by the credit protection seller to the credit protection buyer.

B) always zero due to the way CDS are priced at origination.

C) greater when the reference obligation is high-yield debt rather than investment-grade debt.

Question #2 of 20

Question ID: 1473609

In anticipation of an announcement of leveraged buyout of a publicly traded company, which of the following actions would be *most appropriate*?

A) Buy the stock of the company and buy CDS protection on company's debt.

B) Sell protection of the company's bond and buy put options on the company's stock.

C) Buy both the stock and the bonds of the company.

Question #3 of 20

Question ID: 1473602

Regarding CDS credit events, a CDS is *least* likely to pay off upon occurrence of a:

A) bankruptcy

B) failure to pay

C) restructuring.

Idrissa Sylla and Joel Lynch both work for Kazenga Asset Management. The fund made losses on fixed income securities during the 2008 credit crunch and is keen to minimize the risk of losses due to credit events going forward. Sylla and Lynch have been tasked with writing a report on the hedging of credit risk for the firm's investment committee. Extracts of their report are included below.

Introduction:

Credit Default Swaps (CDS) have the advantage of allowing the investor to separate credit risk and interest rate risk. Purchasing a CDS allows us to go long only the bond's credit risk.

A single-name CDS allows us to purchase credit protection for a single reference entity. Typically, the reference obligation for a single-name CDS is a senior unsecured bond. Interestingly there is a payoff not only when the reference obligation defaults but when any bond of the issuer that ranks pari passu with the reference obligation defaults.

The payoff received on a default will be the par value (notional principal) of the reference obligation less the value of the reference obligation after the credit event. Settlement after a credit event will either be physical delivery of the cheapest to deliver bond or alternatively a cash settlement.

Illustration CTD:

A credit event occurs for a single-name CDS with a three-year, senior bond as the reference obligation. The notional principal is $15m. Exhibit 1 shows bonds currently outstanding for the reference entity.

Exhibit 1: Current Market Price of Reference Entity Bonds

Bond type	Price
Bond Q: Subordinated unsecured 5-year maturity	30% of par
Bond P: Senior unsecured 2-year maturity	45% of par
Bond R: Senior unsecured 3-year maturity	50% of par

Value after Inception of CDS:

At initiation of a CDS, the CDS spread depends on the credit quality of the reference obligation at that point. Subsequent changes in credit quality of the reference obligation result in a gain or loss for the CDS holder. Entering an offsetting contract can monetize this gain (or loss). Exhibit 2 shows an illustration.

Exhibit 2: Illustration

	Notional principal covered £36,000,000		
	Coupon rate	**Duration**	**Upfront Premium**
At initiation	1%	5	5%
1 year later	1%	4	8%

The Credit Curve:

The credit curve is the relationship between credit spreads and bond maturities for the same reference entity. Longer maturity bonds typically have a higher credit spread than shorter maturity bonds.

An investor purchases a 'naked' CDS when the investor does not hold the reference obligation. Essentially, it is a pure bet on the credit prospects of the bond issuer. If we believe the credit quality of the issuer will deteriorate and hence the credit curve steepens, we should take a short position in the CDS.

A curve trade is a type of long/short trade where the investor buys and sells protection on the same reference entity but with a different maturity. For example, if we were concerned about the credit risk in the short term but felt the entity's long term prospects were stronger, we would sell protection in a short maturity CDS and buy protection in a long maturity CDS. The improvement in the credit quality over time should cause the credit curve to flatten, resulting in a profit on the strategy.

Question #4 - 7 of 20

Question ID: 1473597

Which of the three statements in the introductory paragraph is correct?

A) The statement describing the separation of credit and interest rate risk.

B) The statement describing the bonds covered by a single name CDS.

C) The statement describing the payoff on a credit event.

Question #5 - 7 of 20

Question ID: 1473598

Using the information under the heading "Illustration CTD," which of the three bonds would be the cheapest to deliver?

A) Bond Q.

B) Bond P.

C) Bond R.

Question #6 - 7 of 20

Question ID: 1473599

Using information in Exhibit 2, the gain on the position is *closest* to:

A) £1,080,000.

B) £1,440,000.

C) £4,320,000.

Question #7 - 7 of 20

Question ID: 1473600

Which of the comments relating to the credit curve is *least* accurate?

A) The definition of the credit curve.

B) The description and example of the naked CDS position.

C) The description and example of the curve trade.

Question #8 of 20

Question ID: 1473607

Suppose that an investment-grade bond's five-year credit spread is 175 bps, and the duration of the associated CDS is four years. Assuming a 1% CDS coupon, the upfront premium (expressed as a percentage of the notional) required to purchase five-year CDS protection on the company's debt will be *closest* to:

A) 8%

B) 3%

C) 4%

Question #9 of 20

Question ID: 1473590

Considering the two parties to a credit default swaps (CDS), the protection buyer is *most likely* to be:

A) bullish on the financial condition of the reference entity.

B) exposed to the credit risk of the protection seller.

C) said to be long the reference entity's credit risk.

Question #10 of 20

Question ID: 1473605

A credit default swap (CDS) will change in value:

A) only when default occurs.

B) whenever the credit quality of the reference entity changes.

C) only when a failure to pay, a bankruptcy, or a restructuring occurs.

Question #11 of 20

Question ID: 1473604

Credit default swap (CDS) fixed payments are *most* likely to:

A) be made until the maturity of the CDS whether a credit event occurs or not.

B) be made by the protection seller to the protection buyer .

C) be set at 1% for investment-grade debt and 5% for high-yield debt.

Question #12 of 20

Question ID: 1473588

Gill Westmore is the fixed income portfolio manager for Allied Insurance. Westmore has bought protection using a 2-year CDS on CDX-IG (125 constituent) index. The notional is $200 million. Company X, an index constituent defaults and trades at 25% of par.

The payoff on the CDS on account of default of X and the notional principal of the CDS after default are *closest* to:

	Payoff	Notional
A)	$1.5 million	$198 million
B)	$1.6 million	$200 million
C)	$1.2 million	$198.4 million

Question #13 of 20

Question ID: 1473589

Which of the following statements about credit default swaps (CDS) is *least* accurate? A credit default swap's reference obligation is:

A) the only obligation of the reference entity covered by a single-name CDS.

B) delivered by the protection buyer to the protection seller, upon default, in the case of physical settlement.

C) typically a senior unsecured bond.

Question #14 of 20

Question ID: 1473601

Which of the following statements regarding settlement protocols with respect to CDS is *least* accurate?

A) When there is a credit event, the swap will be settled in cash or by physical delivery.

B) A super majority vote of the declarations committee of ISDA is needed for a credit event to be declared.

C) When a credit event has occurred, with physical settlement, the protection seller receives the reference obligation and the protection buyer receives the market value of the reference obligation immediately prior to the credit event.

Peter Nathan an asset manager for a hedge fund and looking to include credit default swaps (CDS) in the portfolio.

Nathan wants to know more about credit default swaps (CDS). He read a report that explained the characteristics of these products and the pricing theory. The report contained the following:

Comment 1:	In a CDS, the protection buyer is long the credit risk of the reference entity.
Comment 2:	In an index CDS, the lower the credit correlation, the cheaper the premium.

Nathan owns some intermediate-term bonds issued by ABC Company and has become concerned about the risk of a near-term default, although he is not very concerned about a default in the long term. ABC Company's two-year duration CDS currently trades at 400 bps, and the five-year duration CDS is at 700 bps.

Nathan evaluates the bonds of VAX and believes that some trading opportunities exist. The VAX bonds are currently trading at 260 bps above MRR in an asset swap, while the CDS premium is 200 bps.

Question #15 - 18 of 20

Question ID: 1473611

Which of the following *best* describe Comments 1 and 2?

A) Both comments are correct.

B) Both comments are incorrect.

C) Only one of the two comments is correct.

Question #16 - 18 of 20

Question ID: 1473612

Assume that Nathan sells $400 million of protection on the equally weighted CDX IG index which consists of 125 entities. Concerned about the creditworthiness of an entity A, he purchases $2 million of single-name CDS protection on entity A. What is the investor's net notional exposure to Company A?

A) $2.0 million.

B) $1.2 million.

C) $3.2 million.

Question #17 - 18 of 20

Question ID: 1473613

Describe a potential curve trade that Nathan could use to hedge the default risk of ABC Company.

A) Nathan should position himself short in the short term CDS and short in the long term CDS.

B) Nathan should position himself long in the short term CDS and short in the long term CDS.

C) Nathan should position himself short in the short term CDS and long in the long term CDS.

Question #18 - 18 of 20

Question ID: 1473614

The *most* appropriate trade for the VAX bond is:

A) long the VAX bonds and buy the CDS.

B) short the VAX bonds and buy the CDS.

C) long the VAX bonds and sell the CDS.

Question #19 of 20

Question ID: 1473608

Which of the following strategies would be *most appropriate* use of CDS given an expectation of credit curve steepening?

A) A curve flattening trade.

B) Engage in a naked CDS.

C) A curve steepening trade.

Question #20 of 20

Question ID: 1473603

5-year, 5% Zillon Corp. bonds currently trade at $980 reflecting credit spread of 3%. A 5-year CDS for Zillon bonds has a coupon rate of 5%. The duration of the CDS = 4.

The upfront payment made/received by the protection buyer on a $4 million notional CDS is *closest* to:

A) $320,000 received by the protection buyer.

B) $300,000 paid by the protection buyer.

C) $400,000 received by the protection buyer.